The Telecom Tourney

ted investments of up to $35.5 billion by the year 2000

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l telecom business was Rs 22,100 crore in 1996

to privatisation in the Indian telecom as not smooth. The thorns were the ıent policies and the absence of a regulatory authority. The confidence ors were eroded when irregularities covered during former Communica- nister Sukh Ram's tenure. While ıs tardy progress in the entire pri- n process, basic services, where ere very high, became the worst hit. ıcertainty, at least for the time being, be over. The large bids received and ed investments of up to $35.5 billion ar 2000, announced by foreign com- ıdicate this. The telecom industry is to have done a business of Rs 22,100 1996; a growth of more than 36 per- the previous year. To restore the ce of investors, the Government has set up a telecom regulatory body (Telecom Regulatory Authority of India) to ensure a fair degree of transparency and fair-play in the licensing process. Concessions have come in the form of licence fees to be treated as revenue expenditure, to enable telecom service companies to pay minimal tax; reduction on import duty of telecom equipment, zero duty on 'embedded' software; and reduction in effective duty of cellular handsets. With telecom now been treated as infrastructure, there will be a five-year tax holiday and 25 percent income reduction while calculating tax.

Fastest-Growing Among the Big

Revenue in Rs crore

		1994-95	1995-96	1996-97	Growth #
1	Tandon Group	238.24	383.44	942.36	**145.76**
2	Unicorp Industries Ltd.	84.00	115.79	206.68	**78.50**
3	Godrej Pacific Technology Ltd.	96.59	149.39	248.00	**66.01**
4	Hewlett-Packard India Ltd.	172.00	329.00	539.00	**63.83**
5	Tata Information Systems Ltd.	—	339.45	553.00	**62.91**
6	Infosys Technologies Ltd.	57.70	93.41	143.81	**53.96**
7	Pentafour Software & Exports Ltd.	59.51	112.70	170.21	**51.03**
8	Rolta India Ltd.	52.00	70.23	105.21	**49.81**
9	CMS Computers Ltd.	90.52	125.97	186.58	**48.11**
10	Tata Consultancy Services	352.00	521.00	721.00	**38.39**
11	PCS Industries Ltd. (Computer Division)	85.00	130.00	174.00	**33.85**

Percentage growth in 1996-97 over 1995-96

st-Growing g Mediums

in Rs crore

	1993-94	1994-95	1995-96	Growth #
ram Computer rices Ltd.	24.12	51.90	96.18	**85.32**
ı Horizons rnational Ltd.	—	38.00	65.57	**72.55**
aware systems Ltd.	25.09	44.05	73.29	**66.38**
nens Information ems Ltd.	41.34	60.48	92.19	**52.43**
ıi Computer ems Ltd.	35.20	56.00	84.89	**51.59**
corp Information nnology Industries Ltd.	26.11	36.45	53.54	**46.89**
tek Ltd.	32.73	48.19	70.43	**46.15**
Data Systems Ltd.	31.91	41.85	60.91	**45.54**
amatics Group	60.00	68.00	98.60	**45.00**
nfotech Ltd.	22.00	40.00	54.46	**36.15**
ron Group	48.93	67.31	89.08	**32.34**

growth in 1996-97 over 1995-96

Industry Boom, User Boon

As a result, four years after the Government tendered for provision of cellular services in the metros, value-added services like cellular mobile phone services seem to be coming of age. Other services like radio paging, private data network services like E-mail and VSATs are also gaining ground. The total number of cellular subscribers stood at 2.5 lakh by the end of 1996, of which 2.3 lakh were in the four metros. The sweep is now reaching smaller towns. Cellular operators have formed two consortiums, 'World One Network' and 'Global Connect', to offer countrywide mobility.

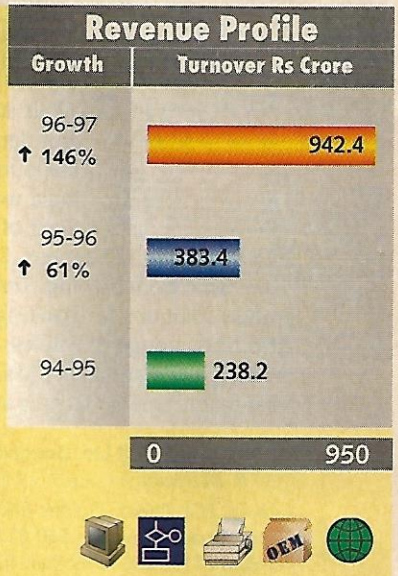
Pagers too became cheap and omnipresent; the total number of subscribers crossed

3 Elephant among the Asian Tigers

Tandon

While the domestic hardware industry growth was stunted, the manufacturing of PCs, peripherals and components went on the wane, the Tandon group made a quantum jump in hardware exports. Spread its facilities further at the export processing zones in Mumbai, Chennai and Noida near Delhi. And now, the group plans to sell its PCs, servers and notebooks in India too. Under the Tandon umbrella, there are seven companies—JTS Technology Ltd. garnered Rs 622.76 crore in revenues; Advanced Technology Devices, Rs 151.41 crore; Tancom Electronics, Rs 151.18 crore; Kollmorgen Tandon (India), Rs 7.7 crore; Ultra Tek Devices Ltd., Rs 3.35 crore; Golden Computers Ltd., Rs 2.45 crore; and Tandon Information Solutions, that clocked Rs 1.48 crore.

Company **Tandon Group** Established 1982
CEO *M.L. Tandon* Employees *12,390*
Address Unit No.59, SDF-II, SEEPZ, Andheri (E),
Mumbai 400 096
Tel 821 8706-11. Fax 837 8176

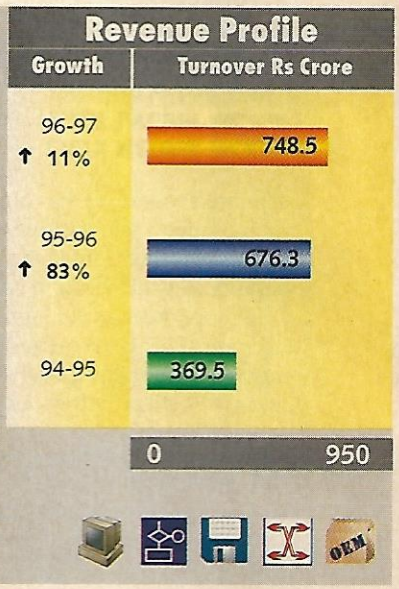


4 PC Leader's Paranoia

PCL

The deep price-cutting exercise (a 486-based PC for Rs 19,995) by PCL might not have brought about the intended ease in credit situation, but surged the company's PC sales, notwithstanding the mire of delivery problems accentuated by cash crunch. It, once again, claims to be the PC leader, with the sale of 113,595 PCs and 10,343 servers. Lost the distribution rights of Dell Computers in India, and started selling HP Vectra PCs. Hardware export revenues from the group company Altos India Ltd. dipped to Rs 65.04 crore, but PCL compensated it with export of software services through its software division, Mindware. Total revenue from software exports rose to Rs 190.34 crore. PCL plans to hive off its software division as a separate subsidiary company.

Company **Pertech Computers Ltd.** Established 1987
CEO *Dadan Bhai* Employees *1,024*
Address B-52, Okhla Industrial Area, Phase-I,
New Delhi 110 020
Tel 681 9105/8933/9491/9492/9497/9498. Fax 681 9106



5 Of Steep Growth and High Profits

TCS

The scarcity of software programmers honed in latest technologies, tightening visa restrictions, growing competition from other developing countries—the usual complaints from software exporters seem not to be TCS' concern. Exports of software services continued to be the mainstay, bringing in Rs 606 crore. Profits were high at Rs 173 crore. Though present in 15 countries through 54 front-offices, TCS stressed on consolidating its offshore software development facility. Hence a new centre at SEEPZ, Mumbai. Tied up with Microsoft to become a Premier Microsoft Consultant, and upgraded its E-X financial accounting software for the global market. The TCS-led consortium of TCS-IBM-SEGA bagged the order for the first depository of the country.

Company **Tata Consultancy Services** Established 1968
CEO *F.C. Kohli* Employees *3,161*
Address 11th Floor, Air India Bldg., Nariman Point,
Mumbai 400 021
Tel 202 4827. Fax 204 0711

